development of the government bond market, including the process of making bonds more liquid across the spectrum, a process which the RBI is engaged in.

The FSLRC also seems to be inconsistent in its emphasis on synergies and regulatory uniformity. All regulation of trading should move under one roof, all regulation of consumer protection should move under another roof, but the regulation of credit should be balkanized – banks should continue to be regulated by the RBI but the regulation of the quasi-bank NBFCs should move to the Unified Financial Agency, a regulatory behemoth that would combine supervision of trading as well as credit. This balkanization makes little sense and would hamper regulatory uniformity, the supervision of credit growth, and the conduct of monetary policy.

More broadly, the FSLRC seems to have an idealistic view of the benefits of reorganization. It seems to believe that once activities are combined in an organization, synergies can be fully exploited, while if they exist in separate organizations, synergies will not be exploited. I too shared such a view, but I now believe it is too extreme. Silos within a large bureaucratic regulator may prevent synergies from being exploited, while frequent inter-regulatory meetings can allow regulators to capture many of available synergies between their activities. Indeed, one particularly useful proposal by the FSLRC is to put the Financial Sector Development Council on a firmer footing. It is a good venue for inter-regulatory cooperation, and its benefits are further augmented by personal interactions. For instance, Chairman SEBI and I try to get together once every month to note and resolve issues.

At the same time, while negotiations and cooperation between regulators can overcome organizational barriers, it is not wise to give a regulator a responsibility and leave the tools for exercising that